

Basics of Mutual Fund

Understanding the Foundation of Smart Investing

Shah Capital Services

Shah Capital Services | ARN - 261365

AMFI Registered Mutual Fund Distributor & SIF Distributor

Why Should We Invest?

We earn money to meet today's needs, but we invest to secure tomorrow's goals. Investing helps us grow our wealth, beat inflation, and achieve life's financial aspirations.

Key Points

- Achieve Financial Goals
- Beat Inflation
- Build Wealth Over Time
- Create Financial Security
- Prepare for Unexpected Expenses
- Achieve Financial Independence



Every Financial Goal Needs a Plan

Every stage of life brings new financial responsibilities. Defining your goals helps you estimate the amount required, the investment horizon, and the right investment strategy.

"A goal without a plan is just a wish."



Understanding Inflation

Inflation is the gradual increase in the prices of goods and services over time, which reduces the purchasing power of money. As prices increase, the same amount of money buys fewer goods and services than it did before.

Key Points

- Prices of goods and services generally increase over time.
- The purchasing power of money decreases due to inflation.
- Future financial goals become more expensive.
- Planning and investing are important to maintain purchasing power.



Inflation in India: A Historical Perspective

Year	Inflation
1979	6.28%
1980	11.35%
1981	13.11%
1982	7.89%
1983	11.87%
1984	8.32%
1985	5.56%
1986	8.73%
1987	8.80%
1988	9.38%
1989	7.07%
1990	8.97%

Year	Inflation
1991	13.87%
1992	11.79%
1993	6.33%
1994	10.25%
1995	10.22%
1996	8.98%
1997	7.16%
1998	13.23%
1999	4.67%
2000	4.01%
2001	3.78%
2002	4.30%

Year	Inflation
2003	3.81%
2004	3.77%
2005	4.25%
2006	5.80%
2007	6.37%
2008	8.35%
2009	10.88%
2010	11.99%
2011	8.86%
2012	9.31%
2013	11.06%
2014	6.67%

Year	Inflation
2015	4.91%
2016	4.95%
2017	3.33%
2018	3.94%
2019	3.37%
2020	6.62%
2021	5.13%
2022	6.70%
2023	5.40%
2024	4.40%
2025	2.80%
2026	3.93%

Historical avg.
Inflation
 (From 1979 till
 2026)
7.36%
 Per annum

Source: <https://www.worlddata.info/asia/india/inflation-rates.php> & https://mospi.gov.in/sites/default/files/press_release/CPI_PR_13May25.pdf

What is a Mutual Fund?

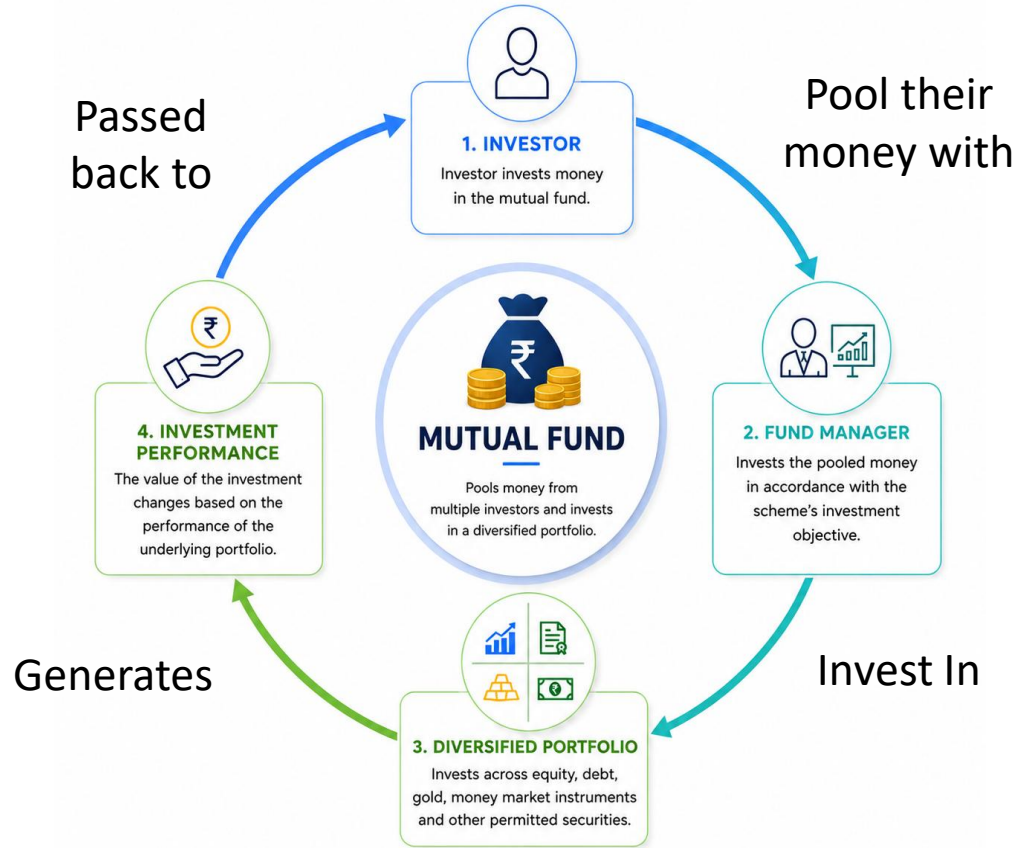
A **Mutual Fund** is an investment vehicle that pools money from many investors and invests it in a diversified portfolio of securities such as equities, debt instruments, money market instruments, gold, or other assets. The investments are managed by experienced professionals in accordance with the scheme's investment objective.

Key Points

- Pools money from multiple investors.
- Managed by professional fund managers.
- Invests in a diversified portfolio.
- Each investor owns units proportional to their investment.
- Returns depend on the performance of the underlying investments.

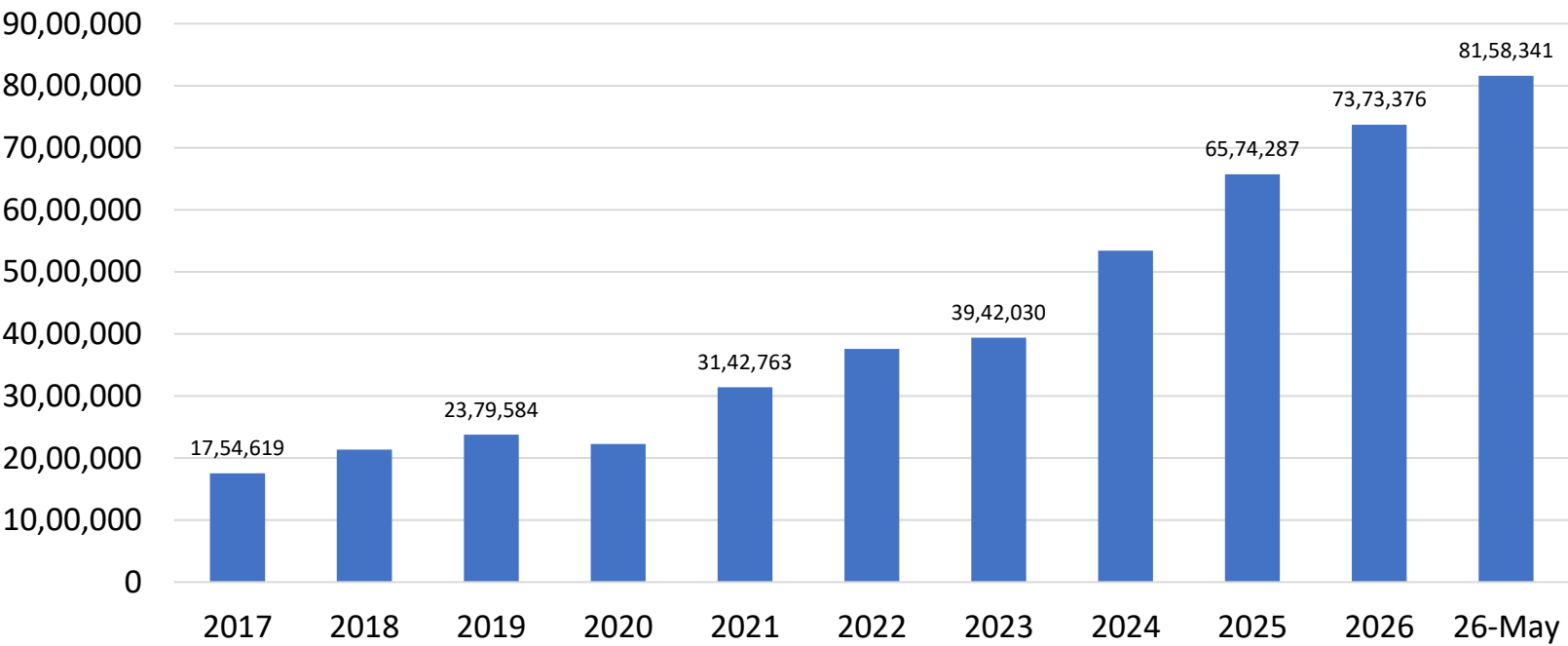


How Does a Mutual Fund Work?



India's Mutual Fund Industry Growth

AUM Growth in Indian Mutual Fund Industry



Source: Association of Mutual Funds in India (AMFI), *Monthly AUM Data (May 2026)*; SEBI.

Types of Mutual Funds

Mutual Funds offer a wide range of investment options to suit different financial goals and risk appetites. Based on the underlying asset class, mutual funds are broadly classified into the following categories:



Equity Fund:

Primarily invest in equity shares of companies.



Debt Fund:

Primarily invest in fixed-income securities such as government securities, treasury bills, and corporate bonds.



Hybrid Fund:

Invest in a combination of equity and debt instruments.



Solution- oriented Fund:

Designed to help investors achieve specific goals such as retirement or children's education.



Other Mutual funds:

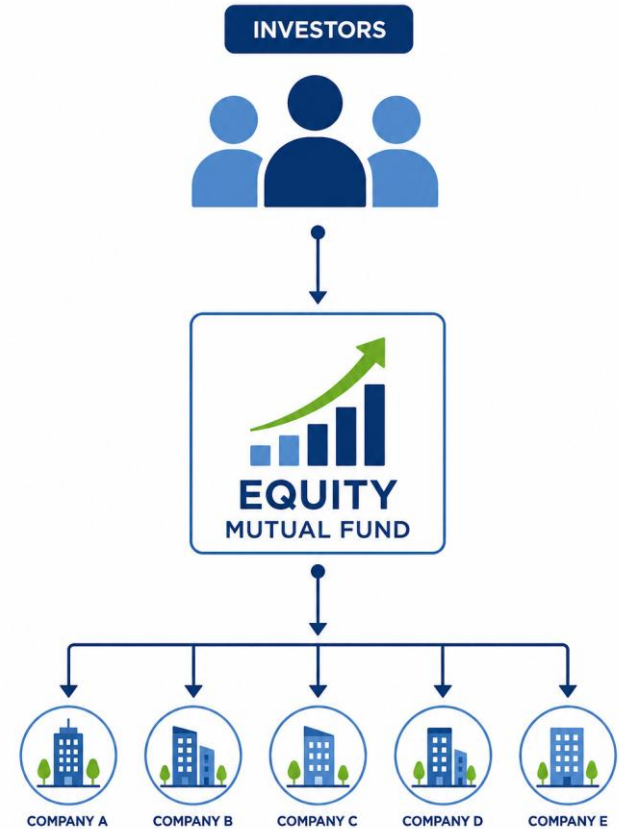
Includes Index Funds, Exchange Traded Funds (ETFs), Fund of Funds (FoFs), and International Funds.

Equity Mutual Funds

An **Equity Mutual Fund** primarily invests in the equity shares of listed companies. The objective is to generate capital appreciation over the long term by participating in the growth potential of businesses.

Key Points

- Primarily invests in equity shares of companies.
- Suitable for long-term wealth creation.
- Managed by professional fund managers.
- Returns are linked to market performance.
- Risk level varies depending on the type of equity fund.

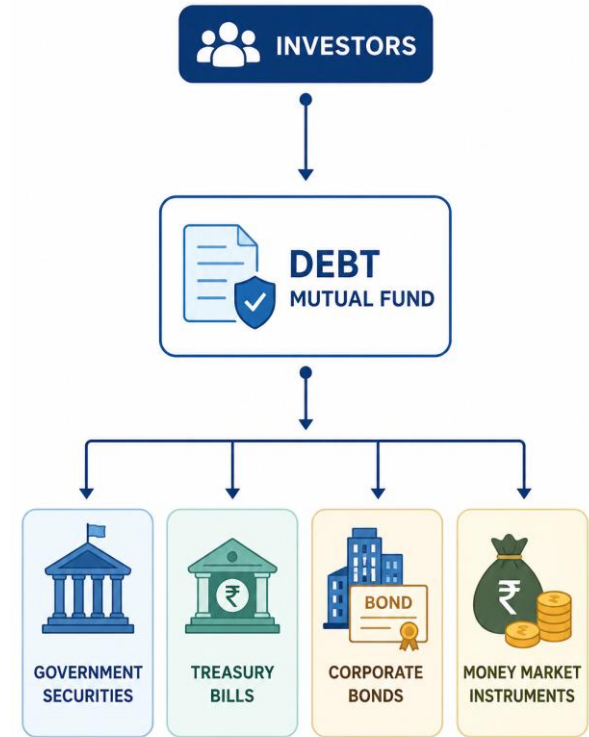


Debt Mutual Funds

A **Debt Mutual Fund** invests primarily in fixed-income securities such as government securities, treasury bills, corporate bonds, and money market instruments. It aims to provide regular income with relatively lower risk than equity funds.

Key Points

- Invest primarily in fixed-income securities.
- Managed by professional fund managers.
- Suitable for different investment horizons.
- Subject to interest rate risk and credit risk.
- Available in various categories based on investment objective and maturity.

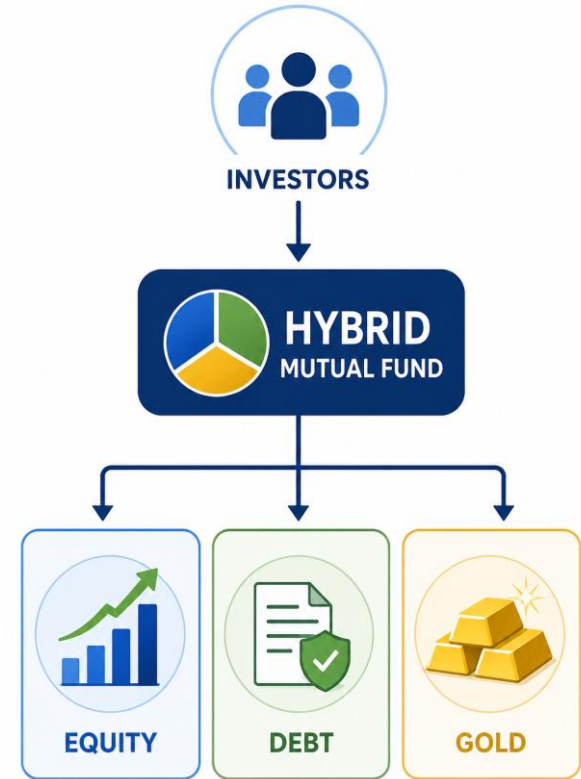


Hybrid Mutual Funds

A Hybrid Mutual Fund invests in a combination of two or more asset classes, such as equity, debt, gold, and other securities, depending on the investment objective of the scheme. The allocation between asset classes varies across different categories of hybrid funds.

Key Points

- Invests across multiple asset classes.
- Provides diversification within a single scheme.
- Asset allocation depends on the scheme objective.
- Managed by professional fund managers.
- Different categories suit different investment objectives.



Ways to Invest in Mutual Funds

Mutual funds offer different investment and transaction options to suit the varying financial needs and investment preferences of investors.



Lumpsum Investment – Invest a one-time amount.



Systematic Investment Plan (SIP) – Invest a fixed amount at regular intervals.



Systematic Transfer Plan (STP) – Transfer a fixed amount periodically from one mutual fund scheme to another.



Systematic Withdrawal Plan (SWP) – Withdraw a fixed amount periodically from your mutual fund investment.

Lumpsum Investment



A Lumpsum investment is a one-time investment of the entire investible amount into a mutual fund scheme, rather than spreading it over multiple instalments.

The complete amount is put to work immediately, giving it full exposure to potential market movements from day one.

It suits investors who have a large surplus ready to deploy – for example, a bonus, inheritance, or maturity proceeds – and a sufficiently long investment horizon.

Features of Lumpsum



One-Time Investment – the entire amount is invested in a single transaction.

Full Market Exposure – the whole corpus starts earning returns from day one.



Ideal for Surplus Funds – well suited to a large corpus ready to be deployed at once.

Entry Timing Matters – returns are more sensitive to the entry point, so a long horizon helps smooth this out.



The Power of Staying Invested

Lumpsum Investment

₹5,00,000

Assumed Return

12.62% CAGR

Expected Value after 15 Years

₹29,73,054



**Illustration based on an assumed 12.62% p.a. return as per AMFI Best Practices Guidelines Circular No. 135/BP/109-A/2024-25 dated September 10, 2024. For illustrative purposes only.*

Value of a Lumpsum Investment Over Time

Investment	5 Yrs	10 Yrs	15 Yrs	20 Yrs	25 Yrs
₹1,00,000	₹ 1,81,166	₹ 3,28,213	₹ 5,94,611	₹ 10,77,235	₹ 19,51,588
₹2,00,000	₹ 3,62,333	₹ 6,56,425	₹ 11,89,222	₹ 21,54,470	₹ 39,03,175
₹5,00,000	₹ 9,05,832	₹ 16,41,063	₹ 29,73,054	₹ 53,86,175	₹ 97,57,939
₹10,00,000	₹ 18,11,664	₹ 32,82,126	₹ 59,46,109	₹ 1,07,72,350	₹ 1,95,15,877
₹20,00,000	₹ 36,23,328	₹ 65,64,252	₹ 1,18,92,217	₹ 2,15,44,700	₹ 3,90,31,754
₹50,00,000	₹ 90,58,319	₹ 1,64,10,629	₹ 2,97,30,544	₹ 5,38,61,751	₹ 9,75,79,386

**Illustration based on an assumed 12.62% p.a. return as per AMFI Best Practices Guidelines Circular No. 135/BP/109-A/2024-25 dated September 10, 2024. For illustrative purposes only.*

Systematic Investment Plan



A Systematic Investment Plan (SIP) is a smart, hassle-free way to invest in mutual funds with a predetermined amount at regular intervals (e.g., monthly, quarterly).

It helps investors regularly invest and accumulate wealth in a disciplined manner over the long term.

SIP is a simple financial tool that helps build wealth gradually through the power of compounding.

Features of SIP



Disciplined Investing – invest a fixed sum at regular intervals and build a lasting saving habit.

Rupee Cost Averaging – buy more units when prices fall and fewer when they rise, smoothing your average cost.



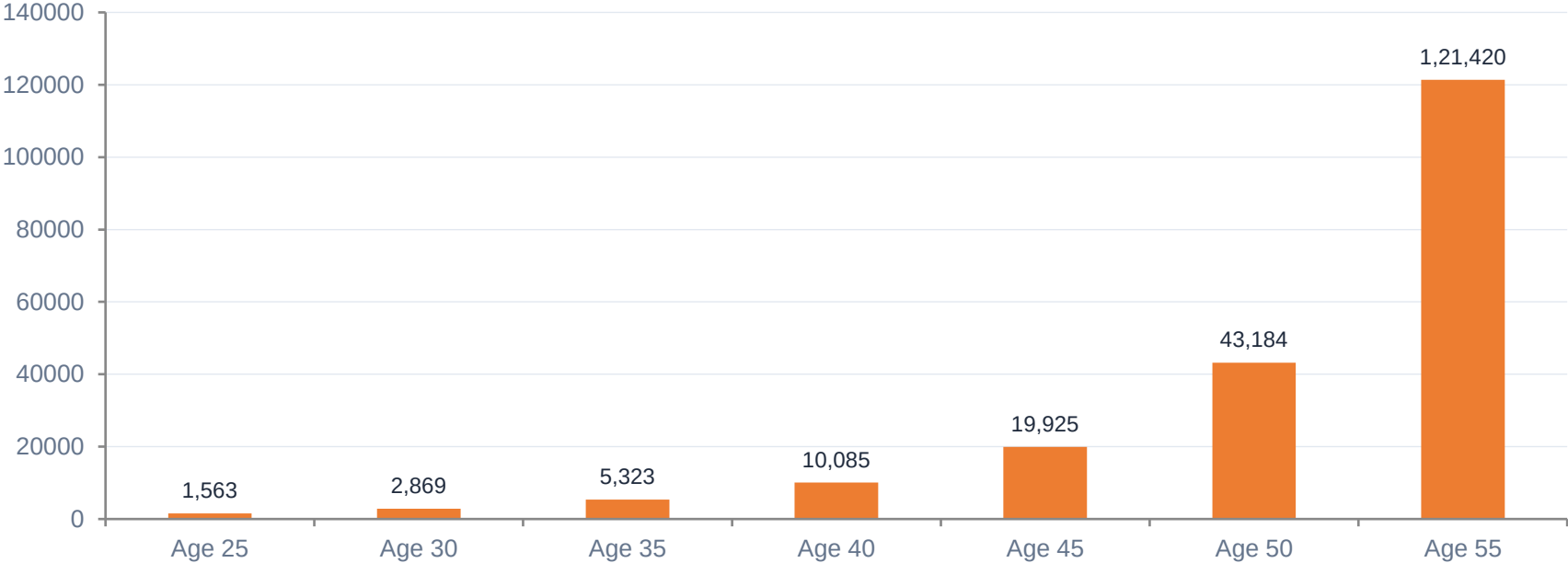
Power of Compounding – returns are reinvested, helping your money grow faster over the long term.

Flexibility – start small, and increase, pause, or stop instalments anytime you need to.



The Key is to Start Early

Monthly SIP Required to Accumulate ₹1 Crore by Age 60 (Assuming 12.62% CAGR)



**Illustration based on an assumed 12.62% p.a. return as per AMFI Best Practices Guidelines Circular No. 135/BP/109-A/2024-25 dated September 10, 2024. For illustrative purposes only.*

Systematic Withdrawal Plan



A Systematic Withdrawal Plan (SWP) is an option provided to investors, enabling them to regularly withdraw a predetermined amount from a mutual fund scheme.

On the specified date, units from the investor's portfolio are sold, and the proceeds are transferred to their bank account.

SWP helps convert an accumulated corpus into a steady, regular stream of cash flow.

Features of SWP



Regular Withdrawal – allows for a fixed, regular withdrawal of units from your invested corpus.

Flexible Intervals – you can choose the withdrawal frequency – monthly, quarterly, or as needed.



Choice of Amount – withdraw either a fixed amount or only the gains, keeping your capital intact.

Continued Growth – the remaining corpus stays invested and can continue to grow while you withdraw.



Illustration

Investment

₹25,00,000

Assumed Scheme Return

10.32% p.a.

Monthly SWP (@7% p.a. withdrawal rate)

₹14,583



***Illustration based on an assumed 10.32% p.a. return as per AMFI Best Practices Guidelines Circular No. 135/BP/109-A/2024-25 dated September 10, 2024. For illustrative purposes only. Returns are only for illustrative purposes. SWP amount assumed @7% per annum, withdrawn monthly.*

SWP Outcome Over 10 Years

Parameter	Value
Investment	₹25,00,000
Assumed Scheme Return	10.32% p.a.
Monthly SWP	₹14,583
Total Withdrawal (10 years)	₹17,49,960
Expected Fund Value after 10 Years	₹37,11,754

**Illustration based on an assumed 12.62% p.a. return as per AMFI Best Practices Guidelines Circular No. 135/BP/109-A/2024-25 dated September 10, 2024. For illustrative purposes only.*

Systematic Transfer Plan



A Systematic Transfer Plan (STP) lets an investor move a fixed amount, at regular intervals, from one mutual fund scheme into another – typically from a liquid/debt fund into an equity fund.

The lumpsum stays parked in the source (usually low-risk) fund and earns returns while smaller portions are transferred out over time.

STP helps deploy a large sum gradually, reducing the risk of investing everything at a single, potentially unfavorable, market price.

Features of STP



Fixed, Regular Transfers – a set amount or number of units moves from one scheme to another at chosen intervals.

Reduces Timing Risk – gradually shifts money into equity, smoothing out the impact of market volatility.



Idle Money Keeps Earning – funds awaiting transfer stay invested in the source scheme instead of sitting idle.

Same-AMC Convenience – typically works between two schemes of the same fund house/AMC.



Common Myths About Mutual Funds

Myth	Fact
Mutual Funds are only for experts.	Mutual Funds are designed for investors with different levels of investment knowledge.
A large amount of money is required to invest.	The minimum investment amount depends on the scheme and investment mode.
Mutual Funds always invest only in the stock market.	Mutual Funds invest in different asset classes such as equity, debt, gold, and others, depending on the scheme objective.
All Mutual Funds have the same level of risk.	Risk varies across different categories of mutual funds.
Higher NAV means a better Mutual Fund.	NAV represents the per-unit value of the scheme and should not be interpreted in isolation.

Key Takeaways

Understand Before You Invest

Invest with Clear Financial Goals

**Choose the Right Mutual Fund
Category**

Invest Regularly and Stay Disciplined

Review Your Investments Periodically

Read Scheme Documents Carefully

Mutual Fund Investments are subject to market risk,
read all scheme related documents carefully.

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